to seeds from state government institutions. The institutions produced own seeds and were responsible for their quality and price. With liberalization, India's seed market was opened upto global agribusinesses. Also, following the deregulation many state government institutions were closed down in 2003. These hit farmers doubly hard: seed prices shot up, and fake seeds made an appearance in a big way.

b) **Cutback in agricultural subsidies:** Farmers were encouraged to shift from growing a mixture of traditional crops to export oriented 'cash crops' like chilli, cotton and tobacco. Liberalisation policies reduced the subsidies on pesticide, fertilizer and electricity. As a result prices have increased by 300%. However, the prices of agricultural goods have not increased to that extent.

c) **Reduction of import duties:** With a view to open India's markets, the liberalization reforms also withdrew tariffs and duties on imports. By 2001, India completely removed restrictions on imports of almost 1,500 items including food. As a result, cheap imports flooded the market, pushing prices of crops like cotton and pepper down.

d) **Paucity of credit facilities:** After 1991 the lending pattern of commercial banks, including nationalised bank drastically changed. As a result, loan was not easily avilable and adequate. This has forced the farmers to rely on moneylenders who charge exorbitant rate of interest.

9.8 Trade Reforms:

- **Trade Policy Reforms:** The main features of the new trade policy as it has evolved over the years since 1991 are as follows:
  - **Free imports and exports:** Prior to 1991, in India imports were regulated. From 1992, imports were regulated by a limited negative list. For instance, the trade policy of 1 April 1992 freed imports of almost all intermediate and capital goods. Only 71 items remained restricted. This would affect the domestic industries.
  - **Rationalization of tariff structure and removal of quantitative restrictions:** The Chelliah Committee's Report had suggested drastic reduction in import duties. It had suggested a peak rate of 50 percent. As a first step towards a gradual reduction in the tariffs, the 1991-92 budget had reduced the peak rate of import duty from more than 300 percent to 150 percent. The process of lowering the customs tariffs was carried further in successive budgets. This also affected the domestic industries.

9.8.1 Export and Import Policy

The Government of India, Ministry of Commerce and Industry announced New Foreign Trade Policy on 1st April 2015 for the period of 2015-2020.

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